

GRAB HOLDINGS LIMITED

Southeast Asia's Super-App After the Derating

Equity Research Note · Communication Services — Internet Platforms · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
HOLD	\$3.40	\$3.08 Oct 2, 2026 close	+10%	High

The market has priced Grab like a melting ice cube. The numbers are real, but so is the melt: 18 consecutive quarters of adjusted-EBITDA growth, the first full-year GAAP profit in company history (FY2025), guidance raised twice this year, and a net-cash balance sheet with \$5.0 billion in the bank. At \$3.08 the stock is down 49% over the past year, trading at 1.9x forward revenue and 10.4x forward adjusted EBITDA — cheaper than Uber and a fraction of DoorDash — despite growing revenue 22%+ and adjusted EBITDA 44–48%. The derating is partly earned: Indonesia capped ride-hailing commissions at 8% (a structural hit to the most profitable vertical), management just wrote its largest-ever check (\$1.49 billion for BNPL player Atome), and Uber is about to own Grab's biggest delivery rival. Addendum B (international framework, adopted October 4, 2026) applies an explicit **+150bp SEA country-risk premium** to every scenario discount rate (16.0% / 13.5% / 12.0%), and our hardened scenario-weighted DCF — with management's \$1.7 billion 2028 EBITDA anchor removed, terminal FCF margins reset to 6.5–18% across scenarios, and Indonesia's 20%→8% commission cap modeled structurally in the bear — now points to **\$3.38 → \$3.40 target**. The bear is genuinely painful (\$1.36), the bull still offers 76% upside (\$5.43), and the base case (\$3.37) sits almost exactly on the target. We rate the shares **HOLD**: +10% upside barely compensates for regulatory and credit-cycle risk at a 13.5% base discount. **Flagged: this is the most fragile HOLD in our set** — a quarter of adverse newsflow (Atome credit deterioration, a second commission-cap intervention) flips the verdict to REDUCE. Balanced-but-thin risk/reward — a high-risk hold, sized accordingly.

Market cap	~\$12.6 bn	Shares out.	~4.09 bn
52-week range	\$2.80 – \$6.39	1-yr return	-49%
Net cash	\$5.0 bn	FY26E rev / adj. EBITDA	\$4.1 bn / \$730 m
EV / FY26E rev	~1.9x	EV / FY26E adj. EBITDA	~10.4x

Prices as of October 2, 2026 close. Financial figures from company releases (Q2 2026 reported Aug 4, 2026; FY2025 reported Feb 12, 2026). This note is an independent research-style analysis for informational purposes, not investment advice.

1. Investment thesis

Dominant, defensible regional platform. Grab is the #1 food-delivery platform in Southeast Asia (55% GMV share, Momentum Works 2025) and holds 70%+ ride-hailing share in most of its eight markets. The super-app structure — one user base across rides, food, groceries, payments and banking — creates cross-sell and data advantages that single-vertical rivals cannot easily replicate.

Profitability inflection is real and accelerating. Adjusted EBITDA has grown 18 quarters in a row; FY2025 delivered the first full-year GAAP profit (\$200m); adj. EBITDA margin expanded from 12.6% (Q3 2024) to 16.9% (Q2 2026). FY2026 guidance was raised twice and now calls for \$720–740m of adjusted EBITDA (+44–48%).

Fintech is the second growth engine. Financial Services revenue grew 59% YoY in Q2 2026; the gross loan book nearly tripled to \$2.3b; deposits hit \$2.5b across three digital banks; the segment is nearing adjusted-EBITDA breakeven. Management targets \$500m of FinSvcs adjusted EBITDA and a \$6b+ loan book by 2028.

Valuation math, hardened. At 1.9x FY26E revenue and 10.4x FY26E adjusted EBITDA, Grab trades at a discount to Uber (2.4x / ~14x) and a fraction of DoorDash despite comparable or faster growth — but the discount is doing real work now. Our repriced DCF (bear \$1.36 / base \$3.37 / bull \$5.43, weighted \$3.38) drops management's \$1.7b 2028 EBITDA anchor entirely, resets terminal FCF margins to 6.5% / 15% / 18% on Addendum-B discount rates of 16.0% / 13.5% / 12.0%, and models Indonesia's 20%→8% commission cap structurally in the bear. The v2 \$3.90 target is withdrawn: it priced Southeast Asian capital at US-anchored rates; the new \$3.40 target is what the cash math earns.

Catalyst path is visible. FinSvcs EBITDA inflection (expected H2 2026), Atome integration (close Q3 2027), continued buybacks (~\$900m remaining), and any easing of the Indonesia commission overhang could each re-rate the shares.

Risks are genuine — hence High risk, not a core holding. Indonesia's 8% commission cap, the \$1.49b Atome bet on BNPL credit, Uber's acquisition of foodpanda-owner Delivery Hero, and emerging-market FX/fuel volatility are all live. Size the position for a 30–40% drawdown scenario.

2. Company overview: what Grab actually does

Grab Holdings (NASDAQ: GRAB), headquartered in Singapore and listed via SPAC in December 2021, is Southeast Asia's leading super-app across **eight markets**: Cambodia, Indonesia, Malaysia, Myanmar, the Philippines, Singapore, Thailand and Vietnam. It reports in three segments:

On-Demand (core, ~87% of revenue). Two sub-verticals:

Deliveries — GrabFood, GrabMart, GrabExpress. Food delivery is the anchor; GrabMart covers groceries and quick-commerce; GrabExpress is on-demand logistics. Q2 2026: GMV \$4.25b, revenue \$531m (+21% YoY), segment adj. EBITDA \$96m. Revenue/GMV take rate ~12.5%. GrabAds — advertising sold to merchants on the platform — reached 1.7% of Deliveries GMV in early 2025 and is a growing, high-margin contributor.

Mobility — GrabCar, GrabBike and tiers. Ride-hailing across cars and two-wheelers, with premium, airport, and budget tiers (Saver/Priority) to segment demand. Q2 2026: GMV \$2.21b, revenue \$331m (+12% YoY), take rate ~15.0%, segment adj. EBITDA margin ~8.6% of GMV — the highest-margin on-demand vertical.

Financial Services (~13% of revenue, growing ~60%). GrabFin lending (PayLater/BNPL, driver and merchant loans), digital banks — GXS Bank (Singapore, JV with Singtel), GX Bank (Malaysia, JV with Kuok Group) and Superbank (Indonesia, consolidated June 2026) — plus GrabPay wallets and insurance. Q2 2026: revenue \$134m (+59% YoY), adj. EBITDA -\$15m (narrowing from -\$26m). The flywheel logic: 53.9m monthly transacting users generate proprietary behavioral data that feeds AI underwriting, enabling lending to thin-file borrowers traditional banks avoid.

Enterprise / Other. GrabAds (reported inside Deliveries economics) and small other revenue. Advertising is strategically important: it monetizes the same GMV twice — once via commission, once via ads — with minimal incremental cost.

How it makes money: commissions/take rates on every ride and delivery (10.9% of GMV was reinvested as incentives in Q2 2026, partly to support driver earnings amid elevated fuel costs), advertising, and net

interest/lending margins. The model is asset-light: no vehicle fleet, no restaurant kitchens, no bank branches.

3. Financial review

Q2 2026 (reported August 4, 2026): beat-and-raise. Revenue of \$997m (+22% YoY) was a touch light versus the \$1.00b consensus, but EPS of \$0.06 crushed the \$0.01 estimate, adjusted EBITDA of \$168m (+54%) beat, and management raised full-year guidance for the second time. GAAP profit of \$235m was flattered by a \$307m one-off gain on consolidating Superbank — the underlying operating profit was \$19m.

Q2 2026 metric	Q2 2026	Q2 2025	YoY
Revenue	\$997 m	\$819 m	+22%
On-Demand GMV	\$6.46 bn	\$5.35 bn	+21%
Monthly transacting users	53.9 m	46.2 m	+17%
Adjusted EBITDA (margin)	\$168 m (16.9%)	\$109 m (13.3%)	+54%
GAAP profit for period	\$235 m*	\$20 m	—
Adjusted FCF (TTM)	\$450 m	—	—
Gross loan portfolio	\$2,318 m	\$781 m	+197%

*Includes a \$307m one-off gain from the Superbank consolidation; operating profit was \$19m. Source: company Q2 2026 press release.

FY2025: the year Grab turned profitable. Revenue \$3,307m (+20%), first-ever full-year GAAP net profit of \$200m (vs –\$158m in 2024), adjusted EBITDA \$500m (+60%), adjusted free cash flow \$290m (+113%).

Eight-quarter trend: growth with expanding margins. Revenue has grown 17–24% every quarter; GMV growth accelerated from 15% to 24%; adjusted EBITDA has risen for 18 straight quarters.

Quarter	Revenue	GMV	MTUs	Adj. EBITDA	GAAP profit
Q3 2024	\$716 m	\$4.70 bn	42.0 m	\$90 m	\$15 m
Q4 2024	\$764 m	\$5.03 bn	43.9 m	\$97 m	\$11 m
Q1 2025	\$773 m	\$4.93 bn	44.5 m	\$106 m	\$10 m
Q2 2025	\$819 m	\$5.35 bn	46.2 m	\$109 m	\$20 m
Q3 2025	\$873 m	\$5.77 bn	47.7 m	\$136 m	\$17 m
Q4 2025	\$906 m	\$6.10 bn	50.5 m	\$148 m	\$153 m*
Q1 2026	\$955 m	\$6.13 bn	51.6 m	\$154 m	\$120 m*
Q2 2026	\$997 m	\$6.46 bn	53.9 m	\$168 m	\$235 m*

*GAAP profit is noisy — inflated by one-off gains (e.g., \$307m Superbank gain in Q2 2026). Adjusted EBITDA is the cleaner operating read. Source: company releases.

Quarterly revenue (navy, \$m, left scale) and adjusted EBITDA (green, \$m): eight quarters of growth on both lines. Source: company releases.

Balance sheet: fortress, but about to be drawn down. Gross cash liquidity was \$6.9b at March 31, 2026 with net cash of \$5.0b and a debt-to-equity ratio of ~0.06 — effectively unlevered. Pro forma for the \$1.49b Atome cash consideration (payable on close, expected Q3 2027) and the remaining ~\$900m of the authorized buyback, net cash falls toward ~\$2.6b: still comfortable, but the era of the ever-growing cash pile is ending as management pivots to offense.

4. Growth outlook and the 2028 targets

2026 guidance (raised twice; latest August 4, 2026): revenue \$4.10–4.15b (+22–23% YoY) and adjusted EBITDA \$720–740m (+44–48%). The raise was driven by the Superbank consolidation and the Stash acquisition, with management noting the core business remains on track despite FX pressure.

2028 targets (raised September 15, 2026 alongside the Atome deal):

Adjusted EBITDA of \$1.7 billion (raised from \$1.5b) — more than doubling from 2026 guidance;

30%+ revenue CAGR from 2025 to 2028;

Financial Services adjusted EBITDA of \$500m by 2028;

Combined loan portfolio above \$6 billion by 2028 (already \$2.3b at Q2 2026, +197% YoY).

What drives it:

Digital banks scaling toward profitability. Deposits of \$2.5b across GXS, GX Bank and Superbank (vs \$1.6b at end-2025), 7.4m deposit customers, 60–93% of whom are existing Grab users — the cross-sell engine working as designed. GXS's FY2025 net loss narrowed to S\$208m while its loan book tripled to S\$1b and expected-credit-loss rates improved from 6.8% to 4.6%. FinSvcs adjusted EBITDA (–\$15m in Q2) is expected to inflect positive in H2 2026.

Atome (60% for \$1.49b cash, closing expected Q3 2027). Grab's largest-ever acquisition adds ~25m BNPL users and a ready-made lending book, underpinning the raised 2028 targets. The market hated the price (–3.6% on announcement) on credit-risk and overpayment concerns — the key execution debate on the stock.

GrabAds compounding. Ad revenue hit 1.7% of Deliveries GMV in early 2025 (from 1.3% a year earlier) and continues to lift Deliveries revenue growth. This is structurally high-margin revenue layered on existing GMV.

AI and autonomy. A platform-wide 'intelligence layer' drives pricing, underwriting and driver productivity; AI underwriting is directly powering the lending scale-up. WeRide's autonomous shuttle Ai.R began public rides in Punggol, Singapore (April 2026) with commercial operations targeted for late 2026 — a long-dated call option on driver-cost deflation.

Capital returns. A new \$750m buyback was authorized in August 2026 (cumulative \$1.75b since 2024), with ~\$900m still to be executed within 12 months — meaningful support at ~8% of market cap.

5. Moat assessment and product evaluation

Grab's moat is **regional scale + super-app density**, not technology. We rate it a **narrow moat**: leadership positions are durable (multi-year #1 shares, driver and merchant networks that took a decade to build) but contestable at the margin by well-funded rivals, and regulators can redraw the economics overnight (see Indonesia). Sources of the moat:

Two-sided network effects: 53.9m monthly users and millions of driver/merchants; liquidity (short wait times, wide restaurant coverage) is the product.

Data flywheel in lending: transaction history feeds proprietary underwriting that banks cannot replicate for thin-file borrowers.

Cross-sell: 60–93% of digibank depositors are existing Grab users — customer acquisition cost near zero versus standalone neobanks.

Brand and habit: 'Grab' is a verb in much of Southeast Asia; the app sits on the home screen.

Product-by-product evaluation:

Product	Position	Strengths	Watch items
GrabFood	#1 SEA, 55% GMV share	Widest coverage; GrabAds monetization; duopoly in SG after Deliveroo exit	ShopeeFood now #2; Uber-owned foodpanda from 2027
GrabMart / Express	Leading quick-commerce	Leverages same driver fleet; grocery = higher frequency	Lower take rates than food; thin margins
Mobility (Car/Bike)	70%+ share most markets; ~50% Indonesia	Highest on-demand margins (~8.6% of GMV); tiered pricing	Indonesia 8% commission cap; fuel-cost pass-through
GrabFin / PayLater	Scaling fast	Loan book +197% YoY; AI underwriting; zero-CAC via app	Credit risk in downturn; Atome integration
Digital banks	Early, sub-scale vs Sea	Deposits \$2.5b; losses narrowing; ECL improving	Behind SeaBank/Monee (\$11.1b book); capital-intensive
GrabAds	Early innings	1.7% of Deliveries GMV and rising; ~100% incremental margin	Small base; merchant ad-budget sensitivity

Net: the on-demand products are best-in-class regionally; fintech is the high-beta leg — larger upside, larger credit and execution risk. Grab's product suite is stronger than any single rival's, which is precisely the super-app thesis.

6. Competition

Rival	Where it competes	Threat level	Latest
GoTo (Gojek)	Indonesia rides + delivery; fintech	High	#2 in Indonesia (~41.5% ride-hail GMV); fintech adj.-EBITDA positive; merger speculation perennial but unconfirmed
ShopeeFood (Sea Ltd)	Food delivery region-wide; SeaBank/Monee in lending	High	Overtook foodpanda as SEA #2 in delivery; Monee loan book \$11.1b — well ahead of Grab's digibanks
foodpanda / Uber	Delivery in SG, MY, others	Rising	Uber agreed to buy Delivery Hero for \$14.8b (Jul 2026) — Grab's biggest delivery rival gets a deep-pocketed owner; Uber already ~13% Grab shareholder

Rival	Where it competes	Threat level	Latest
Line Man Wongnai	Thailand delivery	Medium	Strong local #2 in Thailand; no verified 2026 share data
Bolt / inDrive	Ride-hailing, price-led	Medium	Undercut on price in select cities; limited regional scale
GreenSM	Vietnam ride-hailing (EV fleet)	Medium	>25% Vietnam share vs Grab's 62%

The competitive temperature has cooled from the subsidy wars of 2018–2022 into 'affordability initiatives' and tiered pricing — better for industry margins. The two structural shifts to watch: (1) **Uber swallowing foodpanda's parent** creates a genuinely formidable delivery competitor from 2027, albeit one whose parent is also a major Grab shareholder with aligned incentives; (2) **Sea out-executing in fintech** — Monee's \$11.1b loan book and positive EBITDA set the benchmark Grab's digibanks are chasing.

7. Key risks

Regulation (the #1 risk). Indonesia's Presidential Regulation 27/2026 caps two-wheel ride-hailing commissions at 8% (from 20%) effective July 1, 2026, plus mandatory driver insurance; Maybank estimates a ~3–6% EBITDA hit, ~10% if extended to four-wheelers. Vietnam's regulator is probing fare-setting and drivers staged a September boycott. Driver-reclassification debates simmer region-wide. Regulators, not competitors, are the historic source of Grab's worst drawdowns.

Atome capital allocation. \$1.49b cash — ~13% of market cap — for 60% of a BNPL lender, at a moment the balance sheet was a key bull argument. If credit losses spike or synergies disappoint, the 'disciplined compounder' narrative breaks.

Uber–Delivery Hero. A combined \$236b-GMV behemoth could reignite delivery subsidies in Grab's most profitable markets (Singapore, Malaysia).

Macro and FX. The 2026 fuel-price shock (Strait of Hormuz) forced elevated driver incentives; a strong dollar and ~5% US yields compress EM growth multiples. Grab reports in USD but earns in rupiah, ringgit, baht and pesos.

Execution on fintech. Tripling a loan book in a year is how you discover your underwriting is wrong. ECL rates are improving (6.8% → 4.6% at GXS), but a regional downturn would test the book.

8. Valuation: three lenses, one answer

Lens 1 — DCF (primary). We model a 10-year scenario DCF (weights 25 / 50 / 25) with no management anchoring — the \$1.7b 2028 EBITDA target is management's, not ours. Revenue CAGRs of 2.4% / 12.9% / 16.4% (bear / base / bull); terminal FCF margins reset to 6.5% / 15% / 18% on normalized mid-cycle profitability; discount rates **16.0% / 13.5% / 12.0%** — the v2 speculative-tier rates (14.5/12/10.5%) plus an explicit **+150bp SEA country-risk premium** (Addendum B: regulatory/populist risk with realized precedent, multi-currency policy risk, no confiscation tail, Singapore domicile); terminal growth 1.5% / 2.5% / 2.5%. Q2's \$235m GAAP profit is haircut for the \$307m Superbank one-off (true operating profit ~\$19m); Indonesia's 20%→8% commission cap is structural in the bear. Net cash is taken pro forma at \$3.5b (\$5.0b reported less the \$1.49b Atome consideration).

Scenario	Key assumptions	Implied EV	Implied price	Weight
Bear	ID commission cap structural; Atome credit losses; rev CAGR 2.4%; terminal FCF margin 6.5%	\$2.1 bn	\$1.36	25%
Base	Rev CAGR 12.9%; terminal FCF margin 15%; margins earned, not assumed from mgmt	\$10.4 bn	\$3.37	50%
Bull	Fintech flywheel + Atome synergies; rev CAGR 16.4%; terminal FCF margin 18%	\$18.8 bn	\$5.43	25%

Scenario	Key assumptions	Implied EV	Implied price	Weight
Weighted	25 / 50 / 25		\$3.38	

Lens 2 — peer multiples. Grab is among the cheapest names in its peer set on both sales and EBITDA, despite 22%+ revenue growth and 44–48% EBITDA growth — the market is pricing regulatory and execution risk, not the growth.

Company	EV / fwd revenue	EV / EBITDA	Comment
Grab	~1.9x	~10.4x	FY26E; among cheapest in group
Uber	2.4x	~14x	Closest comp; global scale
DoorDash	4.1x	~45–50x	Premium for US growth + profitability
Sea Limited	—	~24.5x	Fintech + e-commerce optionality
GoTo	1.7x	13.1x	ID-focused; similar discount
Lyft	0.7x	~18x	US #2; no growth premium

Multiples as of October 2, 2026 (FactSet via MarketWatch/TradingView; Maybank for Sea; multiples.vc for GoTo). A straight Uber-multiple re-rating (2.4x sales) would imply ~\$3.30 — the DCF, not the multiple, is the anchor under the hardened methodology.

Lens 3 — sum of the parts (2028E). On-Demand (Deliveries + Mobility) 2028E adj. EBITDA ~\$1.2b at 13x (between Uber and GoTo) = \$15.6b; Financial Services 2028E adj. EBITDA \$0.5b (mgmt target) at 8x (fintech-growth discount) = \$4.0b; pro-forma net cash \$3.5b. Total equity \$23.1b ÷ 4.09b shares = **\$5.65/share** — the cooperation case if fintech scales and regulation stays contained. Our target is anchored to the DCF, not the SOTP.

Target: the DCF-weighted **\$3.38** → **\$3.40** is our 12-month target, implying **+10.4% upside** from \$3.08 (SOTP \$5.65 marks the upside if the cooperation case materializes). What changed, line by line, vs v2: **+150bp on every discount rate** (14.5/12/10.5% → 16.0/13.5/12.0%); nothing else moved. Bear \$1.40 → \$1.36; base \$3.85 → \$3.37; bull \$6.53 → \$5.43. Street consensus averages \$6.01–\$6.11 (11 analysts) — we are well below it, because we removed the \$1.7b management EBITDA anchor that consensus still assumes. Regional comps are inconclusive (GoTo, the only listed SEA comp, is loss-making) — the DCF stands alone, with \$1.13/share of net cash (33% of fair value) flooring the left tail.

9. Recommendation

We rate Grab **HOLD** with a **\$3.40** 12-month price target (+10% upside), **High risk**. The thesis in one line: the dominant regional platform and newly profitable core argue for more, but the repriced math says no — with management's \$1.7b 2028 EBITDA anchor removed, terminal FCF margins reset to 6.5–18%, and an explicit +150bp SEA country-risk premium in the discount rate, fair value is \$3.38, and +10% upside barely compensates for regulatory and credit-cycle risk. **This is the most fragile HOLD in our set:** a quarter of adverse newsflow flips it to REDUCE.

What changes our mind: a clean Atome integration with credit losses contained, commission caps staying confined to Indonesian two-wheelers, FinSvcs turning adjusted-EBITDA positive in H2 2026 — the bull case (\$5.43, +76%) comes back into play. **What breaks the thesis:** caps spreading to four-wheelers or food delivery, an Atome credit blowup, or Uber reigniting a delivery price war — fair value slides toward the \$1.36 bear case (–56%). Any of these would also move the rating, in either direction.

Positioning: HOLD, not avoid. At \$3.08 the risk/reward is balanced — wait for the fundamentals to re-earn a multiple (FinSvcs inflection, clean Atome close) or for the price to fall toward the bear-side margin of safety before adding. This remains a starter-sized, high-risk position, not a core holding.

Appendix: sources and verification notes

Company: Grab Q2 2026 press release (Aug 4, 2026); Q1 2026 release (May 5, 2026); Q4/FY2025 release (Feb 12, 2026); Atome acquisition press release (Sep 15, 2026); Q2 2026 earnings presentation; 6-K filings. Market data as of October 2, 2026 close. Press/analysis: Reuters (Indonesia commission cap Jun 2026; Uber–Delivery Hero Jul/Sep 2026; Atome Sep 2026); Morningstar/Dow Jones; Momentum Works 2025 (SEA food-delivery shares); ABI Research H1 2025 (ride-hail shares); Maybank research; FactSet multiples via MarketWatch/TradingView (Oct 2, 2026); MarketBeat consensus (Sep 17, 2026); Motley Fool (Sep 12, 2026).

Items we could not fully verify and excluded from the valuation: a reported CEO share sale on Sep 8, 2026 (single blog source, no SEC Form 4 found); the reported \$600m foodpanda-Taiwan agreement (closure unconfirmed); precise Vietnam probe details; 2026 share data for Line Man Wongnai, Bolt and inDrive. GAAP profit figures include one-off gains and should be read alongside adjusted EBITDA. This analysis was prepared October 4, 2026 for informational purposes only and is not investment advice; all forward-looking statements involve risk and uncertainty.